

MICHAEL AWITI OTONDE



KENYATTA UNIVERSITY

UNIVERSITY EXAMINATIONS 2014/2015

DIGITAL SCHOOL OF VIRTUAL AND OPEN LEARNING

SECOND SEMESTER EXAMINATION FOR THE DEGREE OF

BACHELOR OF COMMERCE

BAC 100: FUNDAMENTALS OF ACCOUNTING I

DATE: Wednesday, 29th April 2015

TIME: 11.00 a.m. – 1.00 p.m.

INSTRUCTIONS:

- i. Answer ALL the questions
- ii. All the relevant workings must be shown
- iii. Ensure your work is neat and tidy

QUESTION ONE

MICHAEL AWITI OTONDE

- a. Explain three uses of a trial balance. **3 marks**
- b. The trial balance extracted from the books of Mong'o on 31st December 2014 showed a debit total of sh.543,200 and credit total of sh. 492,200. The income statement drawn up on the basis of this trial balance revealed a gross profit of sh. 162,000 and a net profit of sh.48,000. A careful examination of his books revealed the following errors:
 - i. Sales day book was overcast by sh.12,000
 - ii. Cash discount amounting to sh.6,500 allowed by a creditor was debited discount allowed account
 - iii. Goods costing sh.8,000 had been taken by Mong'o for her personal use. No record was made to this fact.
 - iv. Payment of sh.5,000 for carriage on sales was debited to carriage inwards account
 - v. A balance of sh.1,100 in the personal account of M Keli, a debtor, was not included in the list of total debtors on the trial balance.
 - vi. During the year Mong'o sold her private farm for sh.52,000 and –paid in the proceeds to the firm's bank account. This fact was only recorded in the cash book.
 - vii. A new building was built at a total cost of sh.50,000, including material costing sh.35,000 and labour sh.15,000. Materials used were journalized through purchases book and wages paid were debited to ordinary wages account.

Required:

- | | |
|---|----------------|
| a) Journal entries to record correction of the above errors | 7 marks |
| b) Suspense account fully balanced | 5 marks |
| c) Compute the correct gross and net profit figures | 8 marks |

QUESTION TWO

The following trial balance relates to the books of Evaton Ventures, a whole sale business, as at 31st October 2014

	Sh.	Sh.
Capital		4,104,100
Trade payables		330,000
Sales		4,691,280
Sales return	79,420	
Allowance for doubtful debts		44,000
Trade receivables	990,000	
Purchases	2,303,840	
15% bank loan		220,000
Salaries and wages	1,034,000	
Discount allowed	54,560	
Bank balance	568,260	
Drawings	660,000	
Purchase returns		120,340
Discount received		93,720
Cash in hand	26,400	
Electricity expenses	103,840	
Rent and rates	54,560	
Free hold premises at cost	1,569,700	
Fixtures and fittings at cost	334,400	
Motor vehicles at cost	462,000	
Provision for depreciation: Motor vehicle		176,000
Fixtures and Fittings		63,800
Stationery	34,320	
Postage and telephone expenses	44,000	
Insurance premiums	13,200	
Bad debts written off	15,840	
Motor vehicle expenses	84,920	
Inventory – 1/11/2013	1,393,480	
Interest on bank loan	16,500	
	9,843,240	9,843,240

Additional Information:

1. The following were the values provided on inventory as at 31st October 2014:
 - Replacement cost sh. 1,036,400
 - Net realizable value sh.1,366,200
2. Sales include sh.300,000 worth of goods sold by Big Deal Enterprise agents', who are allowed 15% commission on such sales. The transaction has not been recorded in the books.

MICHAEL AWITI OTONDE

3. Depreciation is to be provided as follows:
 - Fixtures and fittings- 10% per annum on reducing balance basis
 - Motor vehicles - 15% per annum on straight line basis
4. Annual insurance premium amounted to sh.12,000.
5. As at 31st October 2014, there was a balance of sh.65,000 received from a customer in cash.
6. Salaries and wages were in arrears of sh35,000.
7. The electricity bill for the month of October of sh. 14,500 was received on November 2014.
8. Stationery stock amounted to sh.8,750
9. An allowance of 5% is to be maintained for doubtful debts.
10. Goods worth sh. 48,840 had been distributed to potential customers as free samples

Required:

- a. Statement of comprehensive income for the year ended 31st October 2014 **15 marks**
- b. Statement of financial position as at 31st October 2014 **10 marks**

QUESTION THREE

- a. Describe two advantages of maintaining control accounts. **2 marks**
- b. Mueni Enterprises keeps sales and purchase control accounts in the General Ledger. The transactions for the month ended 31st March 2015 were as follows:

	Sh.
Debit balances on 1 st March 2015 -Sales ledger	77,800
Credit balances on 1 st March 2015 - Purchase ledger	7,352
Cheques received from debtors	72,400
Purchases journal	84,514
Return inwards during the month	1,900
Return outwards journal	2,196
Cheques paid to suppliers	77,530
Credit sales during the month	98,720
Discount received from suppliers	1,774
Sales ledger debit balance as at 31 st March 2015	103,020
Purchase ledger credit balance as at 31 st March 2015	10,366

Required:

- i. Sales ledger control account for the month ended 31st March 2015 **3 marks**
- ii. Purchases ledger control account for the month ended 31st March 2015 **3 marks**
- iii. Explain your observations from (i) and (ii) above and the option available to accounts supervisor of Mueni Enterprises. **2 marks**

QUESTION FOUR

- a. SquireOne retail shop does not keep proper records of its business transactions but provides the following information as at 30st December 2014

	Sh
Balance at bank	2,475
Debtors	12,960
Creditors	8,865
Motor vehicle	15,750
Accrued expenses	675
Prepayments	405

Required:

Prepare the statement of affairs to find his capital as at 1st October 2014. **4 marks**

MICHAEL AWITI OTONDE

- b. Miss Di, is an upcoming business lady and has the following concerns when preparing financial accounts of her business:
- i. She thinks that the assets of her business should be recorded at their market value every time she prepares the statement of financial statement.
 - ii. The total amount paid for salaries and wages for the current financial year is sh.540,000. Out of this amount, sh.30,000 was paid in advance to one of the employee. She insist the salary expense for the period is sh.540,000.
 - iii. Miss Di is expecting a very profitable contract in the following financial year and has started expanding her business based on this anticipated profit.
 - iv. All the three business motor vehicles are depreciated using straight line method. Miss Di has recently bought a new Toyota Isis for business. She insists that reducing balance method should be used to calculate the wear and tear expense.

Required:

For each of the above concerns, advise Miss Di the basic accounting concepts that should be applied to prepare her business accounts. Explain the concepts

8 marks

MICHAEL AWITI OTONDE

MICHAEL AWITI OTONDE

MICHAEL AWITI OTONDE

MICHAEL AWITI OTONDE



KENYATTA UNIVERSITY

UNIVERSITY EXAMINATIONS 2017/2018

DIGITAL SCHOOL OF VIRTUAL AND OPEN LEARNING

SECOND SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF
COMMERCE

BAC 100: FUNDAMENTALS OF ACCOUNTING I

DATE: Friday 22nd June 2018

TIME: 11.00a.m -1.00p.m

INSTRUCTIONS: ANSWER ALL QUESTIONS

Question one

Mr. Patel has been trading for some years as a wine merchant. The following list of balances has been extracted from his ledger as at 30 April 2015, the end of his most recent financial year.

	Kshs
Capital	83,887
Sales	259,870
Trade creditors	19,840
Returns out	13,407
Provision for bad debts	512
Discounts allowed	2,306
Discounts received	1,750
Purchases	135,680
Returns inwards	5,624
Carriage outwards	4,562
Drawings	18,440
Carriage inwards	11,830
Rent, rates and insurance	25,973
Heating and lighting	11,010
Postage, stationery and telephone	2,410
Advertising	5,980
Salaries and wages	38,521
Bad debts	2,008
Cash in hand	534
Cash at bank	4,440
Stock as at 1 May 2014	15,654
Trade debtors	24,500
Fixtures and fittings – at cost	120,740
Provision for depreciation on fixtures and fittings – as at 30 April 2015	63,020
Depreciation	12,074

INVOLVEMENT IN ANY EXAMINATION IRREGULARITY SHALL LEAD TO DISCONTINUATION

MICHAEL AWITI OTONDE

The following additional information as at 30 April 2015 is available:

- (a) Stock at the close of business was valued at Kshs17,750.
- (b) Insurances have been prepaid by Kshs1,120.
- (c) Heating and lighting is accrued by Kshs1,360.
- (d) Rates have been prepaid by Kshs5,435.
- (e) The provision for bad debts is to be adjusted so that it is 3% of trade debtors.

Required to prepare:

- a) Income statement for the year ended 30th April 2015 (12 Marks)
- b) Statement of financial position for the year ended 30th April 2015. (8 Marks)

Question two

- a) Explain any **three** purposes for which control accounts are prepared. (6 marks)
- b) The following are balances and transactions affecting Clement traders control accounts for the month of May 2015 are listed below:

Balances at 1 May 2015

Sh.

Sales ledger

456,150 (debit)

10,550 (credit)

Purchases ledger

224,500 (credit)

4,400 (debit)

Transactions during May 2015

Purchases on credit

906,750

Allowances from suppliers

31,450

Receipts from customers by cheque

1,368,500

Sales on credit

1,837,750

Discounts received

55,250

Cheques paid to suppliers

770,650

Contra settlements

152,300

Allowances to customers

86,000

Bills of exchange receivable

325,300

Customers' cheques dishonoured

24,450

Cash receipts from credit customers

210,050

Balances at 31 May 2015:

Sales ledger

6,800 (credit)

Purchases ledger

3,350 (debit)

Required

- i) Sales ledger control account
- ii) Purchases ledger control account

(14 Marks)

Question Three

a) B Ltd made the following transactions in the month of December, 2013.

- 1 Started business with Kshs 1,000,000 in the bank.
- 2 Purchased goods Kshs.87, 500 on credit from Meric.
- 3 Bought furniture and fittings Kshs 75,000 paying by cheque.
- 5 Sold goods for cash Kshs 137,500.
- 6 Bought goods on credit Kshs 57,000 from Patrick.
- 10 Paid rent by cash Kshs 7,500
- 12 Bought stationery Kshs 13,500, paying in cash.
- 18 Goods returned to Meric Kshs 11,500.
- 21 Let off part of the premises receiving rent by cheque Kshs 2,500.
- 23 Sold goods on credit to Muli for Kshs 38,500.
- 24 Bought a motor van paying by cheque Kshs 150,000.
- 30 Paid the month's wages by cash Kshs, 58,500.

Required

- a) Prepare the ledger accounts and balance them off (12 Marks)
- b) Extract a trial balance for the month of December 2013 (8 Marks)

Question four

- a) Explain any two characteristics of financial information for decision making purposes (4 Marks)
- b) Highlight any four users of financial information and their information need (2 Marks)
- c) Outline any **four** accounting concepts (4 Marks)

MICHAEL AWITI OTONDE

MICHAEL AWITI OTONDE

MICHAEL AWITI OTONDE



KENYATTA UNIVERSITY
UNIVERSITY EXAMINATIONS 2017/2018

FIRST SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF
COMMERCE

BAC 100: FUNDAMENTAL OF ACCOUNTING 1

DATE: THURSDAY 23RD NOVEMBER 2017

TIME: 4.30 P.M. - 6.30 P.M.

INSTRUCTIONS: ANSWER ALL THE QUESTIONS

QUESTION ONE

- a) The users of financial statements are those groups identified as having reasonable right to the information and whose information needs should be recognized. Identify any FOUR users of financial statements and explain their needs for accounting information. (4 marks)
- b) the conceptual framework of accounting recognises qualitative characteristics of financial information that is useful for decision making.

Required:

Identify and explain FOUR qualitative characteristics of financial information recognized by the conceptual framework. (4 marks)

- c) The following transactions were obtained from the books of account of Transit Solutions Wholesalers for the month ended 31 July, 2016.

- July 1: Started business with Ksh4,500,000 in the bank
5: Bought goods worth Ksh2,400,000 on credit from Magic Traders
10: Paid Ksh124,000 for rent by cheque
15: Withdrew Ksh445,000 from the bank for business use.
20: Bought a motor vehicle on credit from Ufanisi Motors worth Ksh1,200,000;
23: Sold goods worth Ksh1,350,000 on credit to Melly Traders
24: Paid Ksh2,400,000 by cheque to Magic Traders

Required

- (i) Record the transactions above in their respective Ledger accounts; and balance

MICHAEL AWITI OTONDE

off the accounts as at 31 July 2016.

(8 marks)

(ii) Extract a trial balance as at 31 July 2016.

(4 marks)

QUESTION TWO (20 marks)

a) Explain any 10 accounting concepts.

b) The trial balance of Wanjo Wholesalers on 31 December 2011, did not balance. The reported net profit for the year was Ksh72,000. On investigation, the following errors were revealed:

- The purchases daybook had been undercast by Ksh.48,000
- Discount allowed of Ksh24,000 had been credited in the discount received account;
- Motor expenses of Ksh56,000 had been entered in motor van account;
- A credit sale of Ksh85,000 to Awino was completely omitted from the books;
- A cash receipt of Ksh52,000 from a customer was credited in the cashbook;
- A credit purchase of furniture of Ksh47,000 from NjokaFurnitures was only entered in furniture account.

Prepare:

i) The journal entries to correct the errors above;

(6 marks)

ii) A statement of corrected net profit

(4 marks)

QUESTION THREE (20 MARKS)

Mwanaisha runs a wholesale business her trial balance for the year ended 31st December 2015 is as follows:

	DR. Sh. '000'	CR. Sh. '000'
Land and buildings	65,000	
Equipment	5,000	
Fixtures	4,000	
Stock (1/1/15)	3,000	
Purchases/Sales	22,500	35,000
Salaries and wages	1,500	
Electricity	1,000	
Returns	2,000	1,000
Carriage outwards	300	
Discounts	1,500	1,000

MICHAEL AWITI OTONDE

Debtors/creditors	7,000	4,000
Bad debts	350	
Provision for bad debt		500
Motor vehicles expenses	1,500	
Sundry expenses	1,000	
Rent	500	
Telephone	300	
Rent prepaid	150	
Carriage inwards	200	
Drawings	2,500	
Capital		19,300
	<u>60,800</u>	<u>60,800</u>

Additional information

- (i) Stock as at 31/12/2015 was Sh.3,000,000
- (ii) Provision for bad debts was 5% of debtors.
- (iii) Telephone and motor vehicle expenses prepaid was Sh.100,000 and Sh.200,000 respectively.
- (iv) $\frac{1}{4}$ of the sundry expenses relates to 2016.
- (v) The prepaid rent relates to 2014.
- (vi) Electricity bill for the year is Sh.800,000.
- (vii) Depreciation is provided on equipment and furniture and fittings 15% and 10% on cost respectively.

Required:

- (a) Income statement for the year ended 31st December 2015 (15 marks)
- (b) Statement of financial position as at 31st December 2015 (10 marks)

QUESTION FOUR

- a) Highlight any two purposes for which control accounts are prepared. (2 marks)

MICHAEL AWITI OTONDE

MICHAEL AWITI OTONDE

- b) Balances and transactions affecting Clement traders control accounts for the month of May 2015 as listed below:

Balances at 1 May 2015	Sh.
Sales ledger	456,150 (debit)
	10,550 (credit)
Purchases ledger	224,500 (Credit)
	4,400 (debit)
Transactions during May 2015:	
Purchases on credit	906,750
Allowances from suppliers	31,450
Receipts from customers by cheque	1,368,500
Sales on credit	1,837,750
Discounts received	55,250
Cheques paid to suppliers	770,650
Contra settlements	152,300
Allowances to customers	86,000
Bills of exchange receivable	325,300
Customers' cheques dishonoured	24,450
Cash receipts form credit customers	210,050
Balances at 31 May 2015:	
Sales ledger	6,800 (credit)
Purchases ledger	3,350 (debit)

Required:

Prepare the Sales Ledger and Purchases Ledger Control Accounts for the month of May 2015 and derive the respective debit and credit closing balances at 31 May 2015

(8 marks)

MICHAEL AWITI OTONDE
